



The Importer's Landed Cost Cheat Sheet

Everything you need to know your true cost per unit — before you commit to an order.

1. The 6 numbers to get from every supplier

① FOB price

Unit price at port of origin, in their currency.

② Units per carton

Inner and outer carton quantities.

③ Carton size

L × W × H in cm (outer carton).

④ Carton weight

Gross weight per outer carton (kg).

⑤ MOQ / order qty

Minimum order and your intended quantity.

⑥ Terms

Payment terms & what's included.

2. The landed cost formula

$\text{CBM per carton} = (\text{L} \times \text{W} \times \text{H in cm}) \div 1,000,000$

$\text{Freight / unit} = (\text{container cost} \div \text{container CBM}) \times (\text{carton CBM} \div \text{units per carton})$

$\text{Landed unit cost} = (\text{FOB} \div \text{FX rate} + \text{freight}) \times (1 + \text{duty\%}) \times (1 + \text{fees\%}) \times \text{buffer}$

TIP The "buffer" (≈ 1.1 – 1.16) covers local GST/handling — adjust to your market. A 20' container holds ~ 28 CBM, a 40' ~ 56 CBM.

3. Volumetric weight — why "big but light" costs more

Freight is charged on whichever is greater: actual weight or **volumetric** weight. Bulky, light goods get billed by volume:

$\text{Volumetric weight (kg)} = \text{CBM} \times 167$

If volumetric beats actual, that's your billable weight. Dense products win; bulky ones cost you.

4. RRP & margin — and working backwards

Forward

$\text{RRP} = \text{landed cost} \times \text{your markup} \cdot \text{Margin \%} = (\text{RRP} - \text{landed cost}) \div \text{RRP} \times 100$

Backward (negotiation)

Know your target RRP & margin first, then solve for the highest price you can pay and still hit it.

5. Negotiation checklist

- **Know your number before you talk price** — walk in with your target buy price already calculated.
- **Ask for price breaks** at higher MOQs — and compare them on a landed basis, not FOB.
- **Get carton specs in writing** — dimensions and weights drive your freight more than you'd think.
- **Confirm what's included** — inner cartons, packaging, certificates, tooling.
- **Compare FOB vs CIF quotes** only after converting both to true landed cost.

Do all of this in seconds.

The BuyCal app runs every one of these calculations for you — free.

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